

Reinsurance Treaty - EX2025001 - 5

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Proportional

QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001_5

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PARTIES TO THE TREATY

THE CEDING COMPANY:

Example Cedent Inc.

[Registered Address]

[City, State, Postal Code]

[Country]

Hereinafter referred to as "the Company" or "the Reinsured"

THE REINSURER:

Example Reinsurer Corp.

[Registered Address]

[City, State, Postal Code]

[Country]

Hereinafter referred to as "the Reinsurer"

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ARTICLE 1: GENERAL PROVISIONS

1.1 Treaty Type

This Treaty is a Quota Share proportional reinsurance agreement whereby the Reinsurer agrees to accept a fixed percentage of all business ceded by the Company in accordance with the terms and conditions hereinafter set forth.

1.2 Period of Cover

****Effective Date:**** 01 January 2025 at 00:01 hours local standard time at the address of the Company

****Expiry Date:**** 31 December 2025 at 24:00 hours local standard time at the address of the Company

1.3 Territory

Worldwide, excluding countries or territories subject to sanctions by the United Nations, European Union, United States of America, or United Kingdom.

1.4 Governing Law and Jurisdiction

This Treaty shall be governed by and construed in accordance with the laws of England and Wales. The parties irrevocably submit to the exclusive jurisdiction of the courts of England and Wales.

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ARTICLE 2: BUSINESS COVERED

2.1 Classes of Business

This Treaty shall apply to the following classes of business written or renewed by the Company:

- **Property Damage Insurance** (fire, explosion, natural perils)
- **Business Interruption Insurance** (consequential loss)
- **Engineering Insurance** (machinery breakdown, construction all risks)
- **Marine Cargo Insurance**
- **General Third Party Liability Insurance**

2.2 Exclusions

The following classes and risks are specifically excluded from this Treaty:

- a) Aviation insurance (hull and liability)
- b) Space and satellite insurance
- c) Nuclear energy liability insurance
- d) War, terrorism, and political violence insurance (unless specifically covered by underlying policy)
- e) Credit and surety insurance
- f) Financial lines insurance (D&O, E&O, professional indemnity)
- g) Cyber insurance
- h) Pollution liability insurance
- i) Asbestos-related liabilities
- j) Any business written on a claims-made basis
- k) Contracts of reinsurance assumed by the Company
- l) Risks located in or business originating from sanctioned territories

2.3 Automatic and Facultative Obligations

All business falling within the scope of this Treaty shall be ceded automatically. The Company shall not be obligated to offer, nor the Reinsurer obligated to accept, any risk on a facultative basis under this Treaty.

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ARTICLE 3: CESSION AND RETENTION

3.1 Quota Share Percentage

The Reinsurer shall accept ****60%**** (sixty percent) of each and every risk accepted by the Company under the classes of business specified in Article 2.1.

The Company shall retain ****40%**** (forty percent) of each and every such risk for its own account.

3.2 Application

The quota share percentage shall apply uniformly to:

- All premiums (gross of commission and other policy-related charges)
- All losses and loss adjustment expenses
- All return premiums
- All salvages and recoveries

3.3 Entire Policy Basis

The cession shall be on an entire policy basis. The Company may not select individual risks or portions of risks for cession or retention except as provided herein.

3.4 Maximum Line and Capacity

****Per Risk Limit:**** The Reinsurer's maximum liability for any one risk or loss occurrence shall not exceed EUR 6,000,000 (six million euros).

****Per Event Limit:**** The Reinsurer's maximum aggregate liability for all losses arising from any one event or catastrophe shall not exceed EUR 25,000,000 (twenty-five million euros).

For purposes of this clause, "one event" shall be defined as per Article 8.4 hereof.

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ARTICLE 4: PREMIUM PROVISIONS

4.1 Premium Basis

The reinsurance premium shall be calculated on ****100%**** (one hundred percent) of the gross written premium income of the Company for all policies subject to this Treaty, before deduction of:

- Original brokerage
- Taxes and duties
- Any other deductions

4.2 Reinsurance Premium Payable

The Reinsurer shall receive ****60%**** (sixty percent) of the gross written premium as defined in Article 4.1.

4.3 Premium Adjustments

All premium adjustments, including but not limited to:

- Return premiums
- Premium refunds due to policy cancellations
- Premium increases or decreases due to policy endorsements
- Reinstatement premiums
- Audit adjustments

shall be shared in the same proportion as the original premium (60% to the Reinsurer, 40% to the Company).

4.4 Minimum and Deposit Premium

****Minimum Annual Premium:**** EUR 3,500,000 (three million five hundred thousand euros)

****Deposit Premium:**** EUR 4,000,000 (four million euros) payable as follows:

- 25% on 01 January 2025
- 25% on 01 April 2025
- 25% on 01 July 2025
- 25% on 01 October 2025

The deposit premium shall be adjusted quarterly based on actual premium ceded, with final adjustment within 90 days following the expiry of this Treaty.

4.5 Portfolio Premium

In the event of termination of this Treaty, a portfolio withdrawal premium equal to ****20%**** (twenty percent) of the unearned premium reserve held by the Reinsurer shall be payable by the Company to the Reinsurer.

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ARTICLE 5: CEDING COMMISSION

5.1 Provisional Commission

The Reinsurer shall allow the Company a provisional ceding commission of ****30%**** (thirty percent) of the reinsurance premium ceded under this Treaty.

5.2 Sliding Scale Commission

The provisional commission shall be subject to adjustment under a sliding scale based on the loss ratio as follows:

| Loss Ratio | Ceding Commission |

|-----|-----|

| 0% - 50% | 35% |

| 50.01% - 55% | 33% |

| 55.01% - 60% | 31% |

| 60.01% - 65% | 30% |

| 65.01% - 70% | 28% |

| 70.01% - 75% | 26% |

| Over 75% | 25% |

5.3 Loss Ratio Definition

For purposes of the sliding scale commission:

****Loss Ratio = (Incurred Losses + Loss Adjustment Expenses) / Net Reinsurance Premium × 100****

Where:

- ****Incurred Losses**** = Paid losses + outstanding loss reserves - recoveries
- ****Loss Adjustment Expenses**** = All expenses incurred in the investigation, adjustment, and settlement of claims
- ****Net Reinsurance Premium**** = Gross reinsurance premium less return premiums and cancellations

5.4 Commission Adjustment

The sliding scale commission shall be calculated and adjusted quarterly. Final adjustment shall be made within 90 days following the expiry of this Treaty, based on losses developed to 24 months from the inception date.

5.5 Overriding Commission

The ceding commission includes an overriding commission of ****2%**** (two percent) to cover the Company's administrative expenses in servicing this Treaty.

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ARTICLE 6: PROFIT COMMISSION

6.1 Profit Commission Allowance

In addition to the ceding commission, the Reinsurer shall allow the Company a profit commission calculated as follows:

****Profit Commission = 20% of Underwriting Profit****

Subject to a maximum profit commission of ****10%**** of net reinsurance premium.

6.2 Underwriting Profit Definition

****Underwriting Profit**** shall be calculated as:

Net Reinsurance Premium

Less: Incurred Losses and Loss Adjustment Expenses

Less: Ceding Commission (as adjusted per Article 5)

Less: Reinsurer's Management Expense Allowance of 5%

6.3 Profit Commission Reserve

****Contingency Reserve:**** 20% of any profit commission earned shall be withheld and carried forward as a contingency reserve against future adverse development. This reserve shall be released:

- 50% at 24 months from inception date
- 50% at 36 months from inception date

Provided that the loss ratio has not exceeded 75% at the time of release.

6.4 Payment Terms

Profit commission shall be calculated annually and paid within 120 days following the expiry of this Treaty, subject to the contingency reserve provision.

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ARTICLE 7: PREMIUM PAYMENT AND ACCOUNTING

7.1 Currency

All transactions under this Treaty shall be settled in ****EUR**** (euros) or ****GBP**** (pounds sterling) at the option of the Company.

For premiums and losses denominated in other currencies, conversion shall be at the exchange rate prevailing on the date of transaction as published by the European Central Bank or Bank of England, as applicable.

7.2 Premium Bordereau

The Company shall render to the Reinsurer quarterly premium bordereaux within ****30 days**** following the end of each calendar quarter, containing the following minimum information:

- a) Policy number
- b) Name of insured
- c) Class of business
- d) Period of insurance
- e) Territory/location of risk
- f) Sum insured
- g) Gross premium
- h) Reinsurance premium (60%)
- i) Ceding commission
- j) Net amount due

7.3 Premium Payment

Premium payments shall be made quarterly within ****45 days**** following the end of each calendar quarter, together with the premium bordereau.

7.4 Cash Loss Provision

The Company shall have the right to deduct from premium payments due to the Reinsurer any losses and loss adjustment expenses paid by the Company and recoverable from the Reinsurer under this Treaty.

7.5 Interest on Overdue Balances

Any amounts not paid when due shall bear interest at the rate of ****EURIBOR + 2%**** per annum (or ****SONIA + 2%**** for GBP transactions) from the due date until the date of payment.

7.6 Right of Offset

Each party shall have the right to offset any balances due to or from the other party under this Treaty or any other agreement between the parties.

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ARTICLE 8: LOSS PROVISIONS

8.1 Loss Participation

The Reinsurer shall pay to the Company ****60%**** (sixty percent) of all losses and loss adjustment expenses incurred by the Company on business subject to this Treaty.

8.2 Definition of Loss

"Loss" shall include:

- a) All amounts paid or payable by the Company to or on behalf of insureds under policies subject to this Treaty
- b) Loss adjustment expenses (both allocated and unallocated)
- c) Legal costs and expenses incurred in defense or settlement of claims
- d) Investigation costs
- e) Claims handling expenses

8.3 Loss Adjustment Expenses

****Allocated Loss Adjustment Expenses (ALAE):**** Included within the per risk and per event limits and shared in the quota share percentage (60/40).

****Unallocated Loss Adjustment Expenses (ULAE):**** The Company shall retain 100% of ULAE. The Reinsurer shall allow an ULAE provision of ****2%**** of incurred losses as part of the ceding commission.

8.4 Catastrophe and Event Definition

For purposes of this Treaty, losses arising from one event or catastrophe shall include all individual losses and loss occurrences arising from:

- a) One natural catastrophe event (hurricane, earthquake, flood, windstorm, etc.) occurring within a period of 168 consecutive hours (7 days)
- b) One man-made event (fire, explosion, riot, etc.) occurring within a period of 72 consecutive hours (3 days)
- c) Multiple locations affected by a single atmospheric disturbance

The Company shall determine the commencement of the event period.

8.5 Salvage and Recoveries

All salvages, recoveries, and subrogation receipts shall be shared in the same proportion as the original loss (60% to the Reinsurer, 40% to the Company), after deduction of recovery expenses.

8.6 Extra Contractual Obligations (ECO) and Excess of Policy Limits (XPL)

****ECO/XPL Coverage:**** Excluded unless arising from losses otherwise covered under this Treaty and directly attributable to the Company's good faith handling of claims.

The Reinsurer's liability for ECO/XPL shall not exceed ****5%**** of the Reinsurer's share of the underlying policy limit, with an aggregate limit of EUR 2,000,000 per annum.

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ARTICLE 9: LOSS SETTLEMENT AND REPORTING

9.1 Loss Bordereau

The Company shall render to the Reinsurer quarterly loss bordereaux within ****30 days**** following the end of each calendar quarter, containing the following minimum information:

- a) Policy number
- b) Name of insured
- c) Date of loss
- d) Nature and cause of loss
- e) Gross loss amount paid and outstanding
- f) Reinsurer's share of loss (60%)
- g) Salvage and recoveries
- h) Loss adjustment expenses
- i) Net amount due

9.2 Large Loss Advice

The Company shall advise the Reinsurer within ****5 business days**** of any loss where the Reinsurer's estimated ultimate net loss will exceed EUR 500,000 (five hundred thousand euros).

Such advice shall include all available information regarding the circumstances of the loss and estimated quantum.

9.3 Loss Payment

Loss payments shall be made quarterly within ****45 days**** following the end of each calendar quarter, together with the loss bordereau.

For large losses exceeding EUR 1,000,000, the Reinsurer shall make payment within ****15 business days**** of receipt of proper documentation.

9.4 Loss Reserves

The Company shall establish loss reserves in accordance with sound actuarial principles and generally accepted accounting practices. The Reinsurer shall accept the Company's reserving philosophy, provided reserves are established in good faith.

9.5 Reserve Changes

The Company shall advise the Reinsurer of any material changes (greater than 25%) to outstanding loss reserves on individual claims where the Reinsurer's share exceeds EUR 500,000.

9.6 Ex Gratia Payments

Ex gratia payments shall be covered under this Treaty only with the prior written consent of the Reinsurer, such consent not to be unreasonably withheld.

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ARTICLE 10: CLAIMS CONTROL AND COOPERATION

10.1 Claims Handling Authority

The Company shall have full authority to investigate, adjust, defend, settle, or compromise all claims arising under policies subject to this Treaty, and its decisions shall be binding upon the Reinsurer.

10.2 Reinsurer's Rights

The Reinsurer shall have the right, at its own expense, to:

- a) Participate in the investigation and adjustment of any claim
- b) Review claim files and documentation
- c) Attend settlement negotiations and court proceedings
- d) Consult with the Company regarding claims strategy

However, the Reinsurer shall not have the right to direct or control the settlement of claims without the express written agreement of the Company.

10.3 Large Claim Consultation

For any claim where the Reinsurer's estimated ultimate liability exceeds EUR 1,000,000, the Company shall:

- a) Consult with the Reinsurer before making settlement offers exceeding EUR 500,000
- b) Provide regular status updates (at least monthly)
- c) Provide copies of significant documentation
- d) Consider the Reinsurer's input in good faith

10.4 Access to Records

The Reinsurer shall have the right to inspect and audit the Company's books, records, and files relating to business ceded under this Treaty upon reasonable notice during normal business hours.

10.5 Cooperation in Litigation

Both parties agree to cooperate fully in the defense of any litigation arising from policies subject to this Treaty, including:

- a) Providing witnesses and testimony
- b) Sharing documentation and evidence
- c) Coordinating legal strategy

d) Sharing legal costs in proportion to their respective interests

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ARTICLE 11: SPECIAL PROVISIONS

11.1 Follow the Fortunes

The Reinsurer agrees to follow the fortunes of the Company and to be bound by all policy terms, conditions, interpretations, and settlements made by the Company in good faith and within the scope of the Company's authority under the original policies.

11.2 Errors and Omissions

The parties agree that inadvertent errors or omissions in the administration of this Treaty shall not void coverage, provided that:

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